

their loan books. Some banks have been talking of raising money through rights issues.

working capital corporates and raising deposits.

TOP VIEW



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Balance prevails between growth & fiscal consolidation

THE UNION Budget for the financial year 2010-11 has struck a fine balance between encouraging growth momentum and the much-needed fiscal consolidation, all the more in focus with what's happening in the Euro zone. The budget has adequately touched upon growth issues across various levels in the economy, setting a path for balanced and inclusive growth.

The thrust on agriculture and rural sectors continues - through lower interest rates to farmers for crop loans and extension of agriculture debt waiver timeline. Social security schemes in the areas of food, employment and now for the unorganised sector workers are steps in the right direction for India to grow equitably. Focus on infrastructure growth is also balanced between urban and rural with sizeable increases in budgetary allocation towards transport and energy segments.

The targeted fiscal deficit number of 5.5% of GDP has been largely achieved through controlling expenditure which has ensured that the govt has the necessary room for a calibrated roll-back in stimulus. The government borrowing program at Rs 3,45,000 crore would go a long way in alleviating fears of crowding out of private investment.

At the same time, all direct and indirect tax measures have been to a large extent, motivated by the need for a seamless integration into DTC and GST respectively by the next fiscal year. In fact, not raising service tax at this time could well be an indication of the confidence in the rolling out of GST, as announced. The FM's commitment to fiscal consolidation

between growth & fiscal consolidation

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At the same time, all direct and indirect tax measures have been to a large extent, motivated by the need for a seamless integration into DTC and GST respectively by the next fiscal year. In fact, not raising service tax at this time could well be an indication of the confidence in the rolling out of GST, as announced. The FM's commitment to fiscal consolidation comes through his roadmap for phased reduction in fiscal deficit to 4% over the next three years. Tax reforms, subsidy rationalisation and disinvestments will be crucial tools in achieving the fiscal consolidation targets over the next four years. Disinvestment is a large part of the plan for next year and is welcome as it brings more good supply to the market and increases governance in the PSUs.

The union finance minister, has specifically pointed out that the government will increasingly play an enabling and supportive role – thereby paving the way for more participation of the private sector. This is specifically seen in the proposed liberalisation of the banking sector with the announcement of the intent of providing more banking licenses to private players and NBFCs.

This signal is welcome for it allows the deepening of the financial intermediation in our economy and allows the private sector the opportunity to help with the growth in this sector, as has been the case in other sectors.

Overall, the Union Budget has a lot of positives and should allow the continued growth of the economy, be it through consumption or investment. Perhaps areas to watch will be inflation, especially with the petro price hike and the impact of the slower-than-expected government spending on GDP.

Lower deficit at